

DMS201 (2026)-Quiz1

Total points 2/5 ?

The respondent's email (**kapildummy@gmail.com**) was recorded on submission of this form.

Name *

Kapil Paroda

Roll no *

240518



✓ Identify the correct Investment decision *

1/1

- ☐ Raising funds through Bank loan.
- ☒ Purchasing plant and machinery for the upcoming project. ✓
- ☐ Using cash flow to prepay the debt.
- ☐ Repayment of interest on the bank loan.
- ☐ Raising funds through equity issuance.

Feedback

Hint: Raising funds through equity issuance, bank loans, repaying interest on bank loan, and prepayment of debt are all financing decisions. Purchasing plant machinery and equipment are all investment related decisions.



✗ Identify the correct Financing decision *

0/1

- ☒ Acquisition of a competitor. ✗
- ☐ Purchase of plant and machinery to start the operation.
- ☐ Acquisition of coal mine.
- ☐ Invest in Research and Development and Brand building.
- ☐ Issuing equity to raise funds.

Correct answer

- ☒ Issuing equity to raise funds.

Feedback

Purchase of plant and machinery, investment in R&D, acquisition of coal mine, acquisition of a competitor are all investment related decisions. Issuing equity to raise funds is a financing decision.



✗ Which is the form of organization most suitable for large companies with fragmented shareholders who cannot keep track of day to day firm operations. *0/1

- ☐ Partnership.
- ☐ None of the above
- ☒ Private Company.
- ☐ Public company.
- ☐ Proprietorship.

✗

Correct answer

- ☒ Public company.

Feedback

For large companies with scattered ownership, public listed is the most suitable form as there is separation of ownership and control. And shareholders are not liable for the actions of managers.



✗ Which of the following is not associated with the term "separation of ownership and control." *0/1

- ☐ The change in ownership does not affect firm operations.
- ☐ Managers may not act in the best interest of the owners.
- ☐ Managers are also the owners and hence always act in the best interest of the firm.
- ☒ Managers are responsible for the firm operations and they are different from owners. ✗

Correct answer

- ☒ Managers are also the owners and hence always act in the best interest of the firm.

Feedback

Managers are not the owners of the firm (may hold some shares though), thus, may not always act in the best interest of the firm.



✓ Which of the following is the most important goal of a firm and its managers. *1/1

- ☐ Maximizing cash inflows for the next three years
- ☐ Minimizing expenses for the current year
- ☐ Maximizing the profit for the current year
- ☒ Maximizing the firm value (or the share price) ✓
- ☐ Maximizing the profit for the next three years
- ☐ Minimizing expenses for the next three years

Feedback

Hint: Maximizing firm value (or share price) is the most important goal and incorporates all the other dimensions (profit, costs, cash inflows, outflows, etc.).

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DMS201 (2026)-Quiz2

Total points 5/5 

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✓ Which of the following is an incorrect statement *

1/1

- ☐ Present values are obtained by discounting the Future values.
- ☒ A perpetuity of \$5000 received infinite number of years in future will have infinite present value. ✓
- ☐ Safe dollar is worth more than risky dollar.
- ☐ As the compounding frequency increases, for a given interest rate the present value will increase.
- ☐ Dollar today is worth more than dollar tomorrow

Feedback

A perpetuity running infinitely in future, when discounted back to present value, will have a finite present value.



✓ Compute the present value of \$1 received after 6-years, if your opportunity cost of capital is 12%. The value lies in the following interval *1/1

- ☐ \$0.4-\$0.5
- ☐ \$0.6-\$0.7
- ☐ \$0.1-\$0.2
- ☐ \$0.2-\$0.3
- ☒ \$0.5-\$0.6



Feedback

Present value = $1/1.12^6 = 0.507$

✓ The future value of \$125 after one year is \$139, what is the appropriate interval for the discount rate (or opportunity cost). *1/1

- ☐ 4%-8%
- ☐ 0%-4%
- ☐ None of the above
- ☐ 12%-16%
- ☒ 8%-12%



Feedback

Hint: $139/(1+r) = 125$, $r = 11.20\%$



✓ If the opportunity cost of capital is 9%, what is the appropriate interval for ^{*1/1} the present value of \$374 paid at the end of 9th year

- ☒ 160-180
- ☐ None of the above
- ☐ 200-220
- ☐ 220-240
- ☐ 180-200



Feedback

Hint: $374/1.09^9 = 172.2$



✓ The following cash flows are projected on a new firm-venture: \$432, \$137, *1/1 \$797, by the end of the years 1, 2 and 3 respectively. The opportunity cost of capital is 15%. The present value of these cash flows lie in the following interval.

☐ 1020-1030

☐ 1040-1050

☒ 1000-1010

☐ 1010-1020

☐ 1030-1040



Feedback

Hint: $432/1.15 + 137/1.15^2 + 797/1.15^3 = 1003.28$

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DMS201 (2026)-Quiz3

Total points 5/5 

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✓ If the firm chooses a simple payback period as the decision rule, which of *1/1 the following is not true.

- ☐ The firm may choose many short-lived projects, which may also have negative NPVs
- ☐ The firm may not account for the time-value of money
- ☐ The firm may not appropriately account for the risk of these projects
- ☒ The firm will select only long-lived projects with negative NPV ✓
- ☐ The firm may miss out on many long-lived but positive NPV projects

Feedback

Hint: If a firm chooses simple payback method, it may choose many short-lived project with negative NPVs. Also, it may miss out many long term project with positive NPVs. The method does not account for the time-value of money. Since, the time value is not considered appropriately, and therefore, the risk of the project is not considered.



✓ Compute the IRR of the project with the following cash flows. *

3/3

Project	C_0	C_1	C_2
A	-6,750	+4,500	+18,000

- ☐ 110%-115%
- ☐ 85%-95%
- ☐ 115%-120%
- ☐ 105%-110%
- ☒ 95%-105%



Feedback

$NPV=0 = -6750 + 4500/(1+IRR) + 18000/(1+IRR)^2$; solving the equation $IRR= 100\%$

✓ What is the effective annual interest rate for 0.5% monthly installments. * 1/1

- ☐ 4%-6%
- ☐ 0%-2%
- ☐ 2%-4%
- ☒ 6%-8%



Feedback

$Effective Annual Interest (EAI) = (1 + 0.5/100)^{12} - 1$



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DMS201 (2026)-Quiz4

Total points 4/5 ?

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✓ The observed price is efficient price *

1/1

- ☐ True
- ☒ False
- ☐ cant say

**Feedback**

The observed price is inefficient price, which is a mix of true (or fundamental price) and noise.



✓ The efficient price also includes noise *

1/1

☐ True

☒ False



Feedback

The efficient price only includes fundamental information that affects cash flows.

✓ The true price is more volatile than observed price *

1/1

☐ True

☒ False



Feedback

True price only includes fundamental information that arrives intermittently; while observed price includes fundamental price along with noise (or sentiment). This sentiment arrives frequently (even second-by-second), and hence, the observed price is more volatile than true price.



✓ The noise in prices is caused by fundamental information *

1/1

☒ False



☐ True

Feedback

Noise in prices is caused by sentiment/non-fundamental information. This is predominantly driven by trading activity of noise traders and liquidity traders.

✗ Noise traders are motivated by liquidity to trade *

0/1

☐ False

☒ True



Correct answer

☒ False

Feedback

Noise traders have information motive. They feel that they have fundamental information, which they can exploit to make excess returns. However, their information is stale/outdated.

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DMS201 (2026) Quiz 5

Total points 5/5 ?

The respondent's email (**kapildummy@gmail.com**) was recorded on submission of this form.

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✓ A risk neutral person *

1/1

- ☐ Is ok (derives the same utility) with a lower expected outcome if the expected risk is increased.
- ☐ requires (to derive the same utility) increase in expected outcome if the risk is increased
- ☐ Is ok (derives the same utility) with taking more risk, if she is compensated for it with extra outcome
- ☒ Is ok (derives the same utility) with taking Rs 100 with certainty or making a bet that has Rs 100 as expected outcome ✓

Feedback

A risk neutral person is indifferent to risk and is only concerned about the expected outcome. So whether sure short 100 or a gamble with expected income of 100 she is indifferent (i.e., derives the same utility) to both the prospects.



✓ The utility/wealth function of risk neutral person is *

1/1

- ☐ None of the above
- ☐ Convex
- ☒ Linear
- ☐ Concave



Feedback

The utility wealth function of a risk neutral person is straight line. Because, for each delta increase in wealth, she derives the same utility (irrespective of the risk).

✓ Risk preferring person (assuming that the same utility is maintained) *

1/1

- ☒ Would take less amount of money to take excess risk
- ☐ Would take the same amount of money to take excess risk
- ☐ None of the above
- ☐ Would take more money to take excess risk



Feedback

For a risk preferring person, she would derive extra utility from the risk itself. Therefore, would be willing to take less amount of money for excess risk.



✓ The indifference curves on Wealth (y axis) and Risk (x axis) for Risk preferring person will be

*1/1

- ☐ Upward slopping
- ☒ Downward
- ☐ Horizontal



Feedback

Since the risk-preferring person would be willing to stave-off some amount of wealth if higher risk prospect is available, the wealth (y-axis) and risk (x-axis) plot would be downward sloping.

✓ The indifference curves on Wealth (y axis) and Risk (x axis) for Risk Neutral person will be

*1/1

- ☒ Horizontal
- ☐ Upward slopping
- ☐ Downward Slopping



Feedback

For the risk-neutral person, risk is not consideration, so as long as the expected wealth remains the same, utility will remain constant. Hence the wealth (y-axis) and risk (x-axis) plot will be horizontal.

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DMS201 (2026)-Quiz6

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Name *

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✓ Longer-maturity bonds necessarily have longer durations *

1/1

☐ Cannot say/more information is required

☒ False



☐ True

Feedback

The duration depends on relative cash flow profile. A long maturity bond may have a lower duration if the majority of cash flows are earlier in time.



✓ Bonds with long durations have lower volatility (sensitivity to changes in interest rates). *1/1

- ☐ True
- ☐ Cannot say/more information is required
- ☒ False



Feedback

Bonds with long durations are sensitive to changes in interest rates, hence more volatile.

✓ Bonds with relatively lower coupons have higher volatility (sensitivity to changes in interest rates) *1/1

- ☐ False
- ☐ Cannot say/more information is required
- ☒ True



Feedback

Bonds with long durations are sensitive to interest rate changes and hence have higher volatility.



✓ A zero coupon bond has the same duration as its maturity *

1/1

- ☒ True
- ☐ Cannot say/more information is required
- ☐ False



Feedback

Since all 100% cash flows occur at maturity, a zero-coupon bond has the same duration as maturity.

✓ Identify the incorrect statement. *

1/1

- ☐ If a bond's coupon rate is lower than its yield to maturity, then the bond's price will increase over its remaining maturity.
- ☐ If a bond's coupon rate is higher than its yield to maturity, then the bond's price will decrease over its remaining maturity.
- ☒ Bonds with long durations have lower volatility.
- ☐ A zero coupon bond has the same duration as its maturity.



Feedback

If a bond's coupon rate is lower than yield, the bond will sell at a lower price (discount) compared to face value . Therefore, its price will increase over its maturity and vice-versa. Bond with longer duration compared to smaller duration will have higher volatility (everything else remaining the same). A zero-coupon bond has the same duration as its maturity.



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DMS201 (2026)-Quiz7

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✓ If market interest rates rise, what happens to bond coupons? *

1/1

- ☒ Remain unchanged
- ☐ Rise
- ☐ Fall
- ☐ Cannot say/more information is required

**Feedback**

Hint: Coupons are fixed at the time of issuance and do not change.



✓ If market interest rates rise, what happens to bond price? *

1/1

- ☐ Rise
- ☒ Fall
- ☐ Remain unchanged
- ☐ Cannot say/more information is required



Feedback

If market interest rates rise, the bond prices fall

✓ If market interest rates rise, what happens to bond's yield-to-maturity (YTM)?

*1/1

- ☐ Remain unchanged
- ☐ Fall
- ☒ Rise
- ☐ Cannot say/more information is required



Feedback

If the market interest rates rise, the bond's YTM will also rise. For this to happen, bond price needs to fall.



✓ If a bond's coupon rate is higher than its yield to maturity, then the bond will sell for more than face value. *1/1

☐ Cannot say/more information is required

☒ True



☐ False

Feedback

If the coupon rate is higher than the YTM, the bond will sell at premium.

✓ If a bond's coupon rate is lower than its yield to maturity, then the bond's price will increase over its remaining maturity, assuming that interest rates remain constant. *1/1

☐ Cannot say/more information is required

☒ True



☐ False

Feedback

If the bond's coupon rate is lower than YTM its price is lower than face value. At the time of maturity, the bond has to reach its face value, hence, the price will increase over its remaining maturity (Assuming the that interest rate do not change).

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DMS201 (2026) Quiz 8

Total points 5/5 ?

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✓ Question 1: Current annual yield =10%. A bond with semi-annual coupon (C) of 4% and face value (FV) \$100 and 4-years maturity, should be selling at a price that lies in the following interval. *1/1

- ☒ 90-95
- ☐ 95-100
- ☐ 100-105
- ☐ 105-110



Feedback

Hint: It should be a discount bond since coupon is less than yield. $P_0 = \frac{C}{(1+y_t/2)} + \frac{C}{(1+y_t/2)^2} + \frac{C}{(1+y_t/2)^3} + \frac{C}{(1+y_t/2)^4} + \frac{C}{(1+y_t/2)^5} + \frac{C}{(1+y_t/2)^6} + \frac{C}{(1+y_t/2)^7} + \frac{(100+C)}{(1+y_t/2)^8} = 93.5$



✓ Question 2: Current annual yield =10%. A bond is selling with semi-annual ^{*1/1} coupon (C) of 4% and face value (FV) \$100 and 4-years maturity. What is the correct interval for the duration of this bond.

☐ 1-2Years

☐ 0-1Years

☐ 2-3Years

☒ 3-4Years



Feedback

Hint: $D = \sum_{t=1}^T \frac{t \cdot C_t / (1+i)^t}{P_0} = \frac{[(1 \cdot 4)/(1+5\%)^1 + (2 \cdot 4)/(1+5\%)^2 + (3 \cdot 4)/(1+5\%)^3 + (4 \cdot 4)/(1+5\%)^4 + \dots + (8 \cdot 104)/(1+5\%)^8]}{P_0} = 6.962$ half yearly periods. Or 3.481 years



✓ Question 3: Current annual yield =10%. A bond is selling with semi-annual ^{*1/1} coupon (C) of 4% and face value (FV) \$100 and 4-years maturity. For a 1% increase in interest rates, what is % decrease in prices

- ☒ 3.00-3.25%
- ☐ 3.25-3.50%
- ☐ 3.50-3.75%
- ☐ 3.75-4.00%



Feedback

Hint: $P_1 = C/(1+y_t/2) + C/(1+y_t/2)^2 + C/(1+y_t/2)^3 + C/(1+y_t/2)^4 + C/(1+y_t/2)^5 + C/(1+y_t/2)^6 + C/(1+y_t/2)^7 + (100+C)/(1+y_t/2)^8 = 90.50$
% change in price = $(90.50 - 93.54)/93.54 = -3.249\%$



✓ Question 4: Current annual yield =10%. A bond is selling with semi-annual ^{*1/1} coupon (C) of 4% and face value (FV) \$100 and 4-years maturity. For a 1% decrease in interest rates, what is % increase in prices

- ☐ 3.50-3.75%
- ☐ 3.75-4.00%
- ☐ 3.00-3.25%
- ☒ 3.25-3.50%



Feedback

Hint: $P_1 = C/(1+y_t/2) + C/(1+y_t/2)^2 + C/(1+y_t/2)^3 + C/(1+y_t/2)^4 + C/(1+y_t/2)^5 + C/(1+y_t/2)^6 + C/(1+y_t/2)^7 + (100+C)/(1+y_t/2)^8 = 96.70$
% change in price = $(96.70 - 93.54)/93.54 = 3.384\%$



✓ Question 5: Current annual yield =10%. A bond is selling with semi-annual *1/1 coupon (C) of 4% and face value (FV) \$100 and 4-years maturity. For a 1% increase in interest rates, what is the % decrease in prices as predicted by the Duration measure.

☒ 3.25-3.50%



☐ 3.00-3.25%

☐ 3.75-4.00%

☐ 3.50-3.75%

Feedback

Hint: $(dP_0)/P_0 = -D \cdot d(1+i)/((1+i)) = -6.962 \cdot 0.5\% / (1+10\%/2) = -3.32\%$

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DMS201 (2026)-Quiz9

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✓ In a perfect market with no frictions, all securities in the same risk class, *1/1
if priced appropriately, should have the same expectations of returns.

☐ Cannot say/more information is required

☐ No

☒ Yes



Feedback

If two securities have the same risk, they should have the same expected returns also.



✓ For an investor, who intends to hold the stock for all times to come and not sell it, the appropriate value of this stock is the present value of dividends discounted at the appropriate risk. *1/1

- ☒ Yes
- ☐ Cannot say/more information is required
- ☐ No



Feedback

If an investors does not intend to sell her stock, then the only possible payoff is dividends, and the present value of those dividends is the value of stock.

✓ If a company does not offer any dividends and plows back all the money, then it should have zero (0) price. *1/1

- ☐ Cannot say/more information is required
- ☐ Yes
- ☒ No



Feedback

Even if a company is not paying dividends and plows back all the money in positive projects, the share price is not zero. Since, the investors can get their hands on money by selling the stock. The value of this stock represents the positive (or negative) NPV projects taken by this company.



✓ A company is expected to pay \$5 dividend by the end of the year, after which the stock price is expected to be at \$110. If the market capitalization rate is 8%, what is the appropriate interval for the stock price today. *1/1

☐ 110-120

☐ 90-95

☒ 105-110

☐ 95-100

☐ 100-105



Feedback

Hint: $P = (5 + 110) / 1.08 = 106.5$



✓ A company does not plow back any earnings and pays all in the form of dividends at \$5, which is expected to continue infinitely in future. If the current price is \$40, what is the appropriate interval for the market capitalization rate. *1/1

☐ 10%-11%

☐ 11%-12%

☐ 9%-10%

☐ 13%-14%

☒ 12%-13%



Feedback

Hint $40 = 5/r$, $r = 12.5\%$

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DMS201 (2026)-Quiz10

Total points 3/5 

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✓ Question 1: A company is 40% financed by risk-free debt. The interest rate r_f is 10%, the expected market risk premium ($r_m - r_f$) is 8%, and the beta of the company's common stock is (β) .5. What is the correct interval for the cost of equity capital (r_E , as per CAPM)?

☒ 13%-15%



☐ 15%-17%

☐ 9%-11%

☐ 11%-13%

Feedback

CAPM: $r_E = r_f + \beta(r_m - r_f) = 10\% + 0.5 \cdot 8\% = 14\%$



✗ Question 2: In the previous question (1), What is the correct interval for after-tax WACC, assuming that the company pays tax at a 35% rate? *0/1

☐ 14%-16%;

☐ 10%-12%;

☒ 12%-14%;

☐ 16%-18%;



Correct answer

☒ 10%-12%;

Feedback

Hint: WACC: $r_D \cdot (1 - T_c) \cdot D/V + r_E \cdot E/V$: $10\% \cdot (1 - 0.35) \cdot 0.40 + 14\% \cdot 0.60 = 11\%$



✗ Question 3: Identify the incorrect statements *

0/1

- ☐ The company cost of capital is the correct discount rate for all projects, because the high risks of some projects are offset by the low risk of other projects.
- ☐ Adding fudge factors to discount rates undervalues long-lived projects compared with quick-payoff projects.
- ☒ The company cost of capital is the correct discount rate for average risk projects. ✗
- ☐ Distant cash flows are riskier than near-term cash flows.

Correct answer

- ☒ The company cost of capital is the correct discount rate for all projects, because the high risks of some projects are offset by the low risk of other projects.

Feedback

Hint: The company cost of capital is the correct discount rate for the average risk projects (same risk as that of the company). Distant cash flows are risky, as they involve additional maturity risk. These fudge factors compound to further discount the long-lived projects as compared to the short-term projects. The projects with average risk, that is the risk of company, are valued appropriately if discounted at company cost of capital.



✓ Question 4: The total market value of the common stock of the Okefenokee Real Estate Company is \$6 million, and the total value of its debt is \$4 million. The treasurer estimates that the beta of the stock is currently 1.5 and that the expected risk premium ($r_m - r_f$) on the market is 6%. The Treasury bill rate (r_f) is 4%. Assume for simplicity that Okefenokee debt is risk-free and the company does not pay tax. What is the correct interval for the required return on the stock. *1/1

- ☐ 14%-16%;
- ☐ 8%-10%;
- ☐ 10%-12%;
- ☒ 12%-14%;

**Feedback**

CAPM: $r = r_f + \beta(r_m - r_f) = 4\% + 1.5 \times 6\% = 13\%$



✓ Question 5: In the previous question (4), What is the correct interval for the cost of capital of the company. *1/1

- ☐ 7%-9%
- ☐ 11%-13%
- ☒ 9%-11%
- ☐ 13%-15%



Feedback

Hint: WACC: $r_D \cdot (1 - T_c) \cdot D/V + r_E \cdot E/V = 4\% \cdot (1 - 0) \cdot 4/10 + 13\% \cdot 6/10 = 9.40\%$

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DMS201 (2026)-Quiz11

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✓ Question 1: A project has a forecasted cash flow of \$110 in year 1 and \$121 in year 2. The risk-free interest rate (r_f) is 5%, the estimated risk premium ($r_m - r_f$) on the market is 10%, and the project has a beta of .5. What is the correct interval for the cost of capital for the project. *2/2

- ☐ 11%-13%;
- ☐ 5%-7%;
- ☐ 7%-9%;
- ☒ 9%-11%;



Feedback

Hint: CAPM: $r = r_f + \beta(r_m - r_f) = 5\% + 0.5 \times 10\% = 10\%$



✗ Question 2: In the previous question (1), if you use a constant risk-adjusted discount rate, what is the correct interval for the PV of the project.

*0/1

- ☐ 170-190;
- ☐ 150-170
- ☒ 210-230;
- ☐ 190-210;

✗

Correct answer

- ☒ 190-210;

Feedback

Hint: $PV = (CF_1)/(1+r) + (CF_2)/(1+r)^2 = 110/(1.1) + 121/ [1.1]^2 = 200$



✓ Question 3: In the previous question (2), if you use a constant risk-adjusted discount rate, what is the correct interval for the certainty equivalent cash flow in year 1.

*1/1

- ☐ 90-100;
- ☐ 110-120;
- ☒ 100-110;
- ☐ 120-130;



Feedback

*Hint: $CEQ_1 = (CF_1) / (1+r) * (1+r_f) = 110 / (1.10) * 1.05 = 105$*



✗ Question 4: In the previous question (3), if you use a constant risk-adjusted discount rate, what is the correct interval for the certainty equivalent cash flow in year 2.

*0/1

- ☐ 110-120;
- ☐ 90-100;
- ☐ 120-130;
- ☒ 100-110;

✗

Correct answer

- ☒ 110-120;

Feedback

Hint: $CEQ_2 = (CF_2) / (1+r)^2 * (1+r_f)^2 = 121 / [1.1]^2 * [1.05]^2 = 110.25$

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DMS201 (2026)-Quiz12

Total points 4/5 

No Negative Marking. Each one-minute delay in submission will result in a penalty of 1 Marks. Minimum Marks possible marks are 0.

The respondent's email (**kapildummy@gmail.com**) was recorded on submission of this form.

Name *

Kapil Paroda

Roll no *

240518



✓ Question 1: Identify the incorrect statements if you believe in the efficient market hypothesis (EMH). *2/2

- ☒ Prices follow regular, predictable cycles; ✓
- ☐ Successive price changes are random;
- ☐ Returns are not predictable;
- ☐ In efficient markets, the expectation of price today is yesterday's price;

Feedback

Hint: As per EMH, price changes cannot be correlated. As per EMH, prices should not follow any predictable cycle. As per EMH, prices follow a random walk, and prices are not predictable. As per EMH, since prices can not be predicted, the best estimate of today's price is yesterday's price.



✓ Question 2: Identify the incorrect statements. *

1/1

- ☐ A test of price predictability using historical prices is a test of weak-form efficiency.
- ☐ Competitive, deep, and liquid markets, are more efficient.
- ☒ In a strong form efficient market, one can only make superior returns (compared to the market) by collecting private or insider information; ✓
- ☐ There are three forms of market efficiencies;

Feedback

Hint: There are three forms of market efficiencies. Weak, semi-strong, and strong. If prices can be predicted using historical price information, then this is a violation of weak-form of market efficiency. Competitive deep and liquid markets facilitate market participants to conduct arbitrage and correct any inefficiency in prices. In strong-form efficient markets, one cannot beat the market using any kind of information and cannot make superior returns.



✓ Question 3: Identify the incorrect statements. *

1/1

- ☐ Financing decisions are easily reversed as compared to investment decisions.
- ☐ In efficient markets each stock should offer the same returns.
- ☒ Investors are always 100% rational. ✓
- ☐ Higher transaction costs lead to more inefficient markets.

Feedback

Hint: Investors do not always behave in a rational manner. Investment decisions like investing in plant and machinery are not easily reversible, as compared to financing decisions such as issuing bond, equity etc. Arbitrage activities facilitate correction in market inefficiencies. Higher transactions costs prohibit such arbitrage activities. In efficient markets, each stock should offer returns appropriate to the market risk of that stock.



✗ Question 4: Identify the incorrect statements. *

0/1

- ☐ Investors tend to average out all the historical possibilities in forming expectations about prices, whether recent or from the distant past.
- ☒ Analysis by security analysts and investors facilitates market efficiency. ✗
- ☐ In efficient markets, investors do not reward managers for diversification (e.g., Merger and acquisition).
- ☐ As per the efficient market hypothesis, managers cannot artificially inflate the security prices by artificially boosting income, using creative accounting.

Correct answer

- ☒ Investors tend to average out all the historical possibilities in forming expectations about prices, whether recent or from the distant past.

Feedback

Hint: Market participants collect more information and carry out analysis of security prices. Such activity leads to more efficient price discovery. Investors give more weight to recent observations. True, In efficient markets, investors cannot be fooled by manipulating accounting information. True, in efficient markets, investors do not reward managers for those actions that investors can take themselves (e.g., diversification by adding more stocks to their portfolio).



✓ Question 5: Which of the following observations do not contradict the notion ^{*} of market inefficiency.

- ☐ Companies reporting high earnings, witness higher returns persistently over many months in the future.
- ☐ A firm that is an acquisition target, witnesses price appreciation many months after the acquisition.
- ☒ Risky stocks offer higher returns than safe stocks. ✓
- ☐ Managers can make superior returns in the company's stocks where they work.

Feedback

Hint: Managers have private information about their firms. If they are able to make superior returns using this information, then this reflects a violation of strong-form of efficiency. In efficient markets, every stock should offer expected returns appropriate to the risk of the company. In efficient markets, it is expected that any information, such as earnings announcements should be swiftly reflected in prices without any delay. In efficient markets, it is expected that any information (e.g., information related to merger and acquisition activity) will be swiftly incorporated in prices.

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